

CENTURI HOLDINGS INC CTRI

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by

samwise9

			2026	2027
Price:	28.93	EPS	0	0
Shares Out. (in M):	102	P/E	0	0
Market Cap (in \$M):	2,950	P/FCF	19.7	17.0
Net Debt (in \$M):	715	EBIT	0	0
TEV (in \$M):	3,665	TEV/EBIT	0	0

Description

CTRI has strong upside to both numbers and multiple while operating in an attractive industry with thematic tailwinds. We see a Dec-28 price target of \$64 (more than 100% upside and a 30% IRR from current) driven by a ~22% EBITDA CAGR through 2029, supported by record backlog and book-to-bill momentum, along with a re-rate to 14x EBITDA, below the low end of the peer set at 15-16x. Despite the stock's recent run, we see the stock more than doubling from here as the market better appreciates the growth profile and improved execution under new management.

CTRI was recently covered on VIC in July 2025 in a nice write-up from Robot1. Since then, there have been multiple positive updates, namely (i) SWX's full exit from the business, lifting a key overhang, (ii) 2026 guidance of double-digit revenue growth, (iii) de-levered balance sheet, and (iv) sustained bookings momentum. Under new CEO Christian Brown, CTRI has transformed the business into a growth vehicle with a long runway of organic and inorganic growth.

I. Background:

We will keep this section brief, as Robot1's write-up covers the history in more detail. CTRI is a North American E&C focused on maintenance, repair, and installation work on gas pipeline and electric grid infrastructure. The electric business benefits from grid load growth driving increased transmission and distribution spend, while the gas business has regulatory-driven work as legislation gets more strict on pipeline standards. Average project size is ~\$50k (with many contracts cost-plus), limiting project execution risk. Key competitors include MTZ, PRIM, ECG, MYRG, and PWR.

CTRI had a tough start as a public company – after spinning out from prior owner Southwest Gas (SWX), the stock was down 40%+ as highly regarded CEO Bill Fehrman (former Berkshire Energy CEO) left within two months of IPO and they missed initial guidance expectations. Without a clear leader in a new spinoff that had an overhang with SWX still owning 80% post-spin and planning to sell down the stake, both the stock and the underlying business performance were weak in 2024. New CEO Christian Brown joined in Dec-24 and quickly turned the business around, focusing on winning new business vs maintaining the status quo through their legacy MSA agreements.

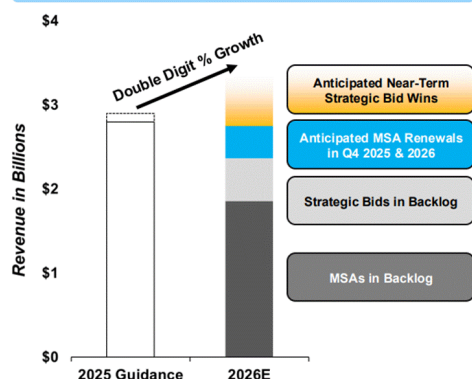
II. Key updates since Jul-25:

1. SWX has sold out: Prior owner SWX began selling down their stake via block sales in Aug-25, and completely exited the position in Sep-25.

Prospective buyers likely hesitated to buy ahead of heavy supply coming at an undefined time (SWX was 80% owner), so the stock is now easier to own for holders of any duration.

2. 2026 guide to double-digit revenue growth: At 3Q25 earnings, the CEO introduced guidance that the base business, excluding storm restoration work which is inherently volatile, would grow topline at double-digits in 2026. Given credibility issues on the street from 2024's challenges, management's bias is to guide conservatively, signaling very high confidence in hitting the guide. As an aside, the decision to reorganize reporting to a "base business" excluding storms was a smart move, since the storm business previously looked more volatile than it was.

Primed for Top-tier Growth in 2026



3. Balance sheet is de-levered: In Nov-25, management raised \$250mm+ of equity to fund a deal (~20% of raised proceeds) and de-lever the balance sheet. We candidly did not love the timing of the deal given that the raise price of \$21.50 was a steep discount to intrinsic value, but pro forma leverage is now sub-3x EBITDA, down from 4x+ at IPO. Management has been very clear that they are not raising any more equity, but noted that they needed to de-lever – not only has leverage been a point of contention with investors and the sell-side, but it was likely also hurting their ability to win contracts when bidding vs peers with low leverage. Since they had an attractive M&A target as well, they figured that going to the market once to put an end to balance sheet issues was the best maneuver.

4. Bookings momentum remains robust: Total booked work for 2025 was \$4.5bn, reflecting over 1.5x book-to-bill vs the midpoint of their guide (well ahead of their 1.1x FY25 target). Note that this excludes \$700mm of awards in the first week of 2026, which could easily have been signed a week earlier and included in 2025 numbers, but were pushed slightly due to timing / holidays.

These updates have been noticed by the market – the stock has climbed ~40% since the Jul-25 write-up. However, we believe the industry tailwinds and idiosyncratic operational upside leave the stock plenty of room to run.

III. Thesis: CTRI operates in an attractive and growing industry with strong bookings momentum, management is focused on raising margins, and there is meaningful accretive M&A opportunity, which should drive ~22% total EBITDA growth through 2029. This growth profile is cheaper than peers, with CTRI at 12x EBITDA (on our numbers) at a discount to comps at 15-16x EBITDA despite growing faster. Strong EBITDA growth and a re-rate closer to peers drive our ~30% base case IRR.

Growth: Organic revenue should grow 12% through 2029, supported by thematic industry tailwinds and improved bidding processes to boost bookings, while EBITDA margins should improve to 10% by 2029. This drives a 15% organic EBITDA CAGR through 2029, with accretive M&A boosting the total EBITDA CAGR to 22%.

Strong organic growth profile: Revenue growth is supported by the sector's long-duration utility capex trends and strong bookings. CTRI's industry benefits from attractive utility spend tailwinds on both the grid and gas businesses, as existing infrastructure is heavily aged and requires non-discretionary repair, maintenance, and replacement work. Utilities are increasingly this work to providers like CTRI – outsourced utility infrastructure capex has grown at a ~10% CAGR from 2010-2023. The gas business benefits from legislation from the PHMSA requiring stricter standards for any pipelines. Local distribution company (LDC) spend has increased at a ~12% CAGR from 2010-2023, which we believe makes gas a HSD % go-forward organic grower at a minimum. Outsourced electric T&D spending has grown at a ~11% CAGR during that time period, and trends are only improving as AI / data centers, electric vehicles, manufacturing onshoring, etc. bring more demands to the grid.

Specific to CTRI's business, management has focused to-date on organizing the sales pipeline and winning new business vs just renewing MSAs. They achieved 2x+ book-to-bill ratios in 9M25, and FY25 guidance implies an 8% YoY increase in total revenue despite booked work taking time to show up as revenue and despite a very weak storm year. CTRI has grown organic revenues at 14.5% from 2010-2023 (faster than utility capex of 10% mentioned above), largely from just renewing and expanding existing MSA work, so we believe that with new, focused management freed from the larger SWX organization, management can meet or exceed that growth going forward. We underwrite a 10% organic revenue CAGR through 2029 for the core gas business and a 15% CAGR for the core electric business, blending to a ~12% organic revenue CAGR – this is below the ~14.5% they have done historically from 2010-2023.

Management's focus has shifted to boosting margins: Upon joining, the new CEO's top priority was getting the core business back to growth. However, management has recently mentioned that given their improved processes and organization, revenue growth is taking

care of itself and they are now focused on margins. They have pushed prices slightly on their bids to boost margins, and have seen no impact to their project win rate (win rate not disclosed). They plan to continue pushing price until win rates actually come down – they have zero concern about their ability to keep growing revenue, and now are focused on driving profit growth. We see EBITDA margins expanding from ~9% in the 2025 guide to ~10% by 2029, reflecting 25bps of annual improvement. Given management has already pushed price on projects to boost margins and has seen no impact to their win rate due to the depth of demand, we believe these margin targets are conservative. Paired with our 12% organic revenue growth assumption, this implies an organic EBITDA CAGR of ~15% through 2029.

M&A is an underappreciated growth driver in a fragmented space: Management will look to get leverage to ~2x or below (we expect achievable in 2026), but following that, their capital allocation focus will be accretive M&A. We believe M&A will be a key part of the growth story, as CTRI can buy targets at 8x EBITDA pre-synergies. M&A moves the needle for CTRI given their market cap of ~\$3bn and that since CTRI operates in the small-ticket space, their competition is far more fragmented and yields more runway for roll-up acquisitions. We size annual acquisitions to 2x net debt to EBITDA and assume acquisitions are made at 8x EBITDA with no synergies. Given these are small roll-ups that (i) command lower multiples and (ii) likely have meaningful low-hanging fruit synergy or cross-selling opportunities, we see these assumptions as conservative. This implies a total EBITDA CAGR of ~22% through 2029.

Re-rate - CTRI trades at a meaningful discount to the comp set: While there is no perfect comp for CTRI's business mix, we view most power E&Cs as relevant. We lay out the key comps below, along with created multiple based on consensus forward growth expectations. Put simply, CTRI is the cheapest of the peers and should grow the fastest (shown below with an EBITDA-equivalent PEG ratio with the 2026-2029 EBITDA CAGRs), creating real re-rating upside.

Comp	2026-2029	EV / EBITDAx				2026
	EBITDA CAGR	2026	2027	2028	2029	EV / EBITDA / G
MTZ	12.5%	16.7x	14.7x	13.2x	11.7x	1.3x
PRIM	12.4%	16.2x	14.5x	13.2x	11.4x	1.3x
ECG	12.0%	16.2x	14.6x	12.5x	11.6x	1.4x
MYRG	14.9%	15.7x	14.1x	12.5x	10.3x	1.1x
PWR	12.1%	25.5x	22.6x	20.2x	18.1x	2.1x
Avg	12.8%	18.1x	16.1x	14.3x	12.6x	1.4x
Median	12.4%	16.2x	14.6x	13.2x	11.6x	1.3x
Median excl. PWR	12.5%	16.2x	14.6x	12.9x	11.5x	1.3x
CTRI Base Case No M&A	14.9%	12.3x	10.7x	9.3x	8.1x	0.8x
CTRI Base Case With M&A	21.5%	12.3x	10.5x	8.5x	6.8x	0.6x
CTRI Consensus	14.5%	12.7x	11.5x	9.9x	8.5x	0.9x

Note that among all of CTRI's comps, there is a degree of execution risk given they take on larger projects. CTRI takes effectively no \$1bn+ “mega-projects” and has a high % of cost-plus projects, which creates very little risk of them losing money on a given project. Peers focused on larger projects, however, such as cross-country transmission, often take fixed-price risk on sizeable projects, leaving them exposed to losses.

Given (i) the lower risk profile, (ii) pure-play gas and electric E&C business (vs peers with renewables, telecom, etc. business lines), (iii) idiosyncratic upside with bookings momentum and margin upside under new management, and (iv) ability for M&A to move the needle, we could easily see CTRI earning a multiple premium, not a discount, to the peer set. That said, CTRI is more levered than peers and we underwrite them maintaining 2x leverage for M&A, so in our base case, we conservatively apply a 14x multiple, below the low end of the peers. A re-rate to that multiple on today's numbers implies a ~\$34 stock price, or a ~18% premium to current.

See below basic and illustrative underwriting putting the key assumptions together – in a base case, we see CTRI as a \$64 stock by Dec-28, reflecting over 2x upside or a 30% 3-year IRR from today.

	2025	2026	2027	2028	2029		Bear	Base	Bull
Organic Revenue	\$2,850	\$3,192	\$3,575	\$4,004	\$4,485				
Growth		12.0%	12.0%	12.0%	12.0%	Revenue Growth	6.0%	12.0%	15.0%
Organic EBITDA	\$260	\$299	\$344	\$395	\$454				
Margin	9.1%	9.4%	9.6%	9.9%	10.1%				
Margin Step		0.25%	0.25%	0.25%	0.25%	Margin Step	0.00%	0.25%	0.50%
EBITDA Growth		15.1%	15.0%	14.9%	14.8%				
Plus: Acquisition EBITDA	–	–	\$4	\$38	\$83				
Total EBITDA	\$260	\$299	\$348	\$433	\$537				
Created EBITDAx		12.3x	10.5x	8.5x	6.8x				
FCF Conversion		50%	50%	50%	50%				
Free Cash Flow	\$130	\$150	\$174	\$217	\$269				
FCF Yield		5.1%	5.9%	7.3%	9.1%				
BOP Net Debt		\$715	\$598	\$688	\$791				
Less: FCF		(\$150)	(\$174)	(\$217)	(\$269)				
Plus: Acquisitions		\$33	\$264	\$319	\$386				
EOP Net Debt	\$715	\$598	\$688	\$791	\$908				
Net Debt to EBITDA	2.8x	2.0x	2.0x	2.0x	2.0x				
Acquisitions		\$33	\$264	\$319	\$386				
Acquisition Multiple		8.0x	8.0x	8.0x	8.0x	Acquisition Multiple	10.0x	8.0x	6.0x
Current Period Acquisition EBITDA		–	\$4	\$33	\$40				
Total Acquisition EBITDA	–	–	\$4	\$38	\$83				
NTM EBITDA		\$348	\$433	\$537					
EBITDAx		14.0x	14.0x	14.0x		Exit EBITDAx	10.0x	14.0x	16.0x
Enterprise Value	\$4,874	\$6,062	\$7,520						
Less: Net Debt		(\$598)	(\$688)	(\$791)					
Equity Value	\$4,276	\$5,374	\$6,729						
FDSO	102.0	103.0	104.1	105.1	106.1				
Share Price		\$41.50	\$51.65	\$64.03		Share Price	\$28.74	\$64.03	\$99.15
Current Share Px		\$28.93	\$28.93	\$28.93		Current Share Px	\$28.93	\$28.93	\$28.93
IRR		43.5%	33.6%	30.3%		IRR	(0.2%)	30.3%	50.8%
MOIC		1.4x	1.8x	2.2x		MOIC	1.0x	2.2x	3.4x

Our upside case has the stock more than tripling by Dec-28, with a PT of ~\$99. We do not see the assumptions as unreasonable here - CTRL grows organic revenues at 15% driven by record backlog, expands margins to 11% by 2029, buys deals at a stabilized 6x EBITDA multiple, and re-rates to the middle of the peer set at 16x EBITDA. Our downside case has the multiple contracting to 10x, acquisitions that are not accretive, and only MSD topline growth with no margin expansion - in this case, the exit price is roughly flat vs today. As such, we think the skew of outcomes from here is highly attractive.

IV. Catalysts: Sell-side will need to raise estimates based on low legacy assumptions, stock will get more analyst coverage and be a better-known story over time, and continued execution will ease market fears over execution / track record.

Consensus numbers are very low and position CTRL for earnings beats: Sell-side has been mostly negative on the name, favoring larger, less levered peers with longer public markets track records. As such, they have been slow to update their estimates and have not even adjusted 2026 numbers for what the CEO has explicitly guided. Consensus underwrites slightly below 10% topline growth for 2026, despite the CEO formally guiding to 10%+ revenue growth based predominately on current backlog. Our interpretation is that 10% base business revenue growth is what they would do if they didn't book another dollar of work for the year – given very strong bookings momentum, we would not be surprised to see revenue grow at 20% or higher for 2026 (though we do not model this). The CEO has frequently talked in investor meetings and conferences about winning back investor trust, so we believe the only reason they are not guiding more aggressively is to give themselves runway to beat and raise through 2026.

Greater sell-side coverage will boost awareness: CTRL has been public for less than two years. Less than 10 major firms cover the stock - as more analysts start to cover, we would expect the multiple discount to narrow vs peers.

Continued execution creates track record: Despite the new CEO's positive impact, he has only been in place for a year, and many investors were stung by the operational issues in 2024 before his tenure. Simply continuing to execute gives the management team greater credibility.

V. Key Risks

Entire sector possibly overvalued vs history, and / or overearning: On valuation, historically power E&Cs have not been 15x+ EBITDA businesses. To some extent, they have become second-derivative AI plays given their role in power infrastructure, and have traded up sharply – most peers are up 50% or more over the past year. With operations, the spike in power demand and need for new infrastructure has led to accelerating growth and margin expansion for the sector. If this momentum slows and negotiating power shifts back from the contractors to the customers, then revenue growth could slow down, margins could compress, and a lower multiple would likely be applied to lower earnings.

A key mitigant here for the sector is that overall, these companies are better businesses than in the past. On topline, infrastructure spending has received bipartisan support for new projects and existing repair / replacement work remains non-discretionary. On margins,

teams have become more disciplined around contract structures, de-risking these from exposure to heavy losses from large fixed-price contracts. The sector remains highly fragmented and the market has rewarded companies with steady execution with a high multiple for their consistent growth. So while there is a risk that recent demand could wane, these companies should still be able to grow organically, have opportunities for inorganic growth, and should not revert back to sub-10x historical multiples. Specific to CTRI, CTRI has also shown consistent growth with a ~14.5% historical organic revenue CAGR. We think CTRI's orientation to more reoccurring, maintenance-driven work makes their revenue base more stable, and that margins are not peak whatsoever given they are still in the process of optimizing bids and their own cost structure – in other words, they are not overearning. On the multiple, we think even if the thematic tailwinds slow and the sector de-rates lower, CTRI's strong growth profile will still support a healthier valuation vs peers over time.

Leverage restricts M&A opportunities: While CTRI has de-levered from 4x+ net debt to EBITDA post-spin to spot sub-3x, they remain the highest levered in the peer group. Higher leverage restricts their ability to do accretive M&A deals, especially since customers tend to prefer working with contractors that have lower leverage. Mitigants: organic growth profile is strong without M&A, CTRI should be sub-2x levered by end of 2026, and synergy opportunities should boost EBITDA post-acquisition for faster de-levering once they start doing deals.

Distribution tailwinds are weaker vs transmission: Larger-scale transmission spending is set to outpace smaller distribution projects. Given CTRI is more focused on distribution on the electric side, market may perceive CTRI's growth profile as slower. Mitigants: large-scale cross-country transmission projects also come with more execution risk, and CTRI has smaller-scale transmission experience and is planning to focus more on that segment in the near future.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

See above in catalysts section of write-up. Sell-side will need to raise estimates based on low legacy assumptions, stock will get more analyst coverage and be a better-known story over time, and continued execution will ease market fears over execution / track record.

Messages

Subject	Consensus
Entry	02/08/2026 04:56 PM
Member	celtsfan86
Like the story as well. Don't think management's guide out the gate will blow Consensus out of the water by any stretch. Co will guide ex storm. Co will likely guide to limited operating leverage IMO BUT there is the 15mm GP loss in Q1 US Gas that should come down (hopefully to zero) in FY26. Think if the co has already secured \$2.9bln in backlog for FY26 and will win business in FY26 for FY26 (as they would for any year), DD growth should not mean just 10% or 10%+/-. Also the co did a deal in conjunction with the equity offering. Also the co is guiding to \$240-250mm of EBITDA for FY25 --> they took down the EBITDA guide given the very limited storm work this year.	
Subject	Re: Consensus
Entry	02/09/2026 10:10 AM
Member	samwise9
Thanks, agreed - I'd imagine initial guide will look very beatable and set them up for steady beats / raises as the year progresses	
Subject	CONGRATS
Entry	05/01/2026 06:59 PM
Member	Rtg123
This has been an amazing call. I still think a long way to go	
Subject	Q1 Print
Entry	05/07/2026 09:44 PM
Member	acm2025
Thoughts on the print? CEO sounded almost defiant that it was an excellent quarter even though the market did not agree. Seems like quite the penalty to pay for some revenue compression they claim is transitory....	
Subject	Re: Q1 Print
Entry	05/08/2026 09:31 AM
Member	celtsfan86
I think the wording to some responses was not the best. They just didn't want to raise after Q1, period. Saying that their signals point to a 1.1-1.2x BTB implies some negative inflection which they at the same time said was not what they are seeing in the market. In discussions, the CEO has made it clear he want to beat expectations. I think he just needed to say that there is upside to guidance and probably give better color on Q2. Move was disappointing but the run-up was crazy. RE: LT guidance -- yes people want to see operating leverage. They also infer that because margins are lower than peers, its reflective of lower value work. Again I think the margin guide is conservative and its unclear if it includes the benefits of DC work that will be imminently awarded (higher mix), more transmission work (higher mix) or frankly more fix bid work. This was a self inflicted situation -- numbers aren't shouldn't go down except for margins for this year. That's been their kryptonite. Good buying oppy IMO	
Subject	Anyone know why this has been so bad?
Entry	06/29/2026 04:31 PM
Member	Rtg123
Rest of e&cs catching a bid. You'd think after PRIM blow up, the stability of MSA model would catch a second look from folks. Management sounded very optimistic about bookings at recent conferences.	
Subject	Re: Anyone know why this has been so bad?
Entry	06/29/2026 07:50 PM
Member	celtsfan86
Even upped the pipeline from 13bln to 14.5bln (at the JPM conf -- you can see it in their notes). Just think they need to go out there and execute.	